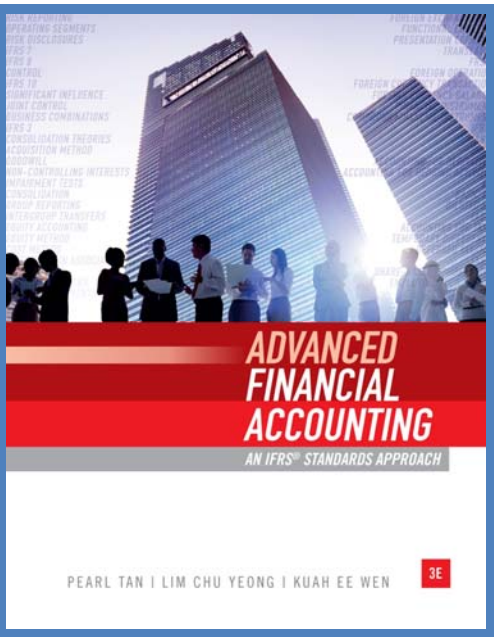
Chapter 7
Group Reporting VI: Complex Consolidation Issues



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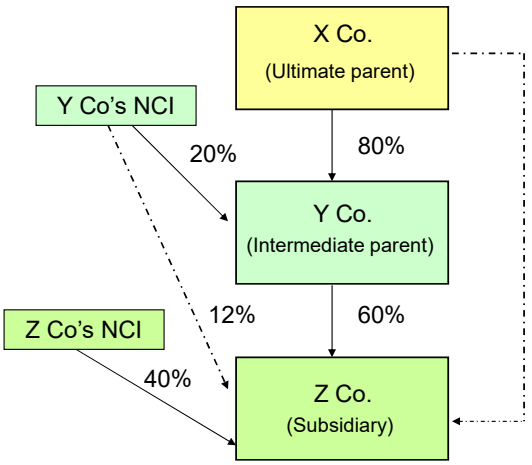
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Content

1. Indirect Ownership Interests
2. Dual Approach to Consolidation of Indirect Non-controlling Interests in Subsidiaries
3. Indirect Holding of Associates
4. Business Combination Achieved in Stages
5. Asset Transfers in More Complex Settings

2

Indirect Ownership Interests



A parent has an indirect ownership holding in a subsidiary when equity in that subsidiary is held through one or more of the parent's subsidiaries

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Direct and Indirect NCI

	Direct NCI	Indirect NCI
Share capital elimination	✓	✗
Dividend payment	✓	✗
Current year profit/loss after tax and after FV and unrealized profit adjustments	✓	✓
Change in post-acquisition retained earnings (RE), other comprehensive income and changes in equity	✓	✓ *

*Note: Changes in equity excludes share capital. Change in retained earnings only starts from the date when the intermediate parent acquires the indirect subsidiary

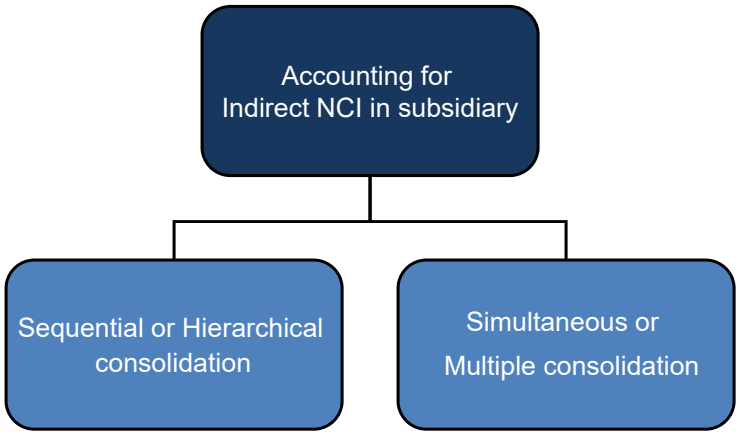
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6. Impact of Consolidation and the Cost and Equity Methods on Profit upon the Disposal of Subsidiaries
7. Overview of Consolidated Cash Flow Statements

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Dual Approach to Consolidation of Indirect Non-controlling Interests in Subsidiaries



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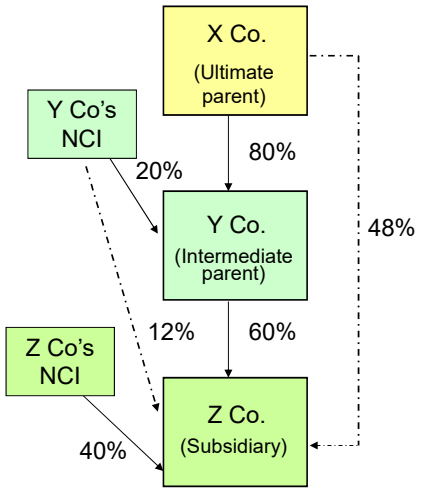
Sequential or Hierarchical Consolidation

- Series of sub-consolidation starting from the lowest level (bottom-up approach)

Example:

1st consolidation
- Y will consolidate Z
- Z's NCI will be allocated with 40% of Z's net profit after tax

2nd consolidation
- X will consolidate Y's sub-group
- Y's NCI will be allocated with 20% of Y sub-group net profit after tax
  - Effectively 12% of Z's net profit is allocated to Y's NCI
  - Total of 52% of Z's net profit after tax and 20% of Y's net profit after tax are allocated to NCI



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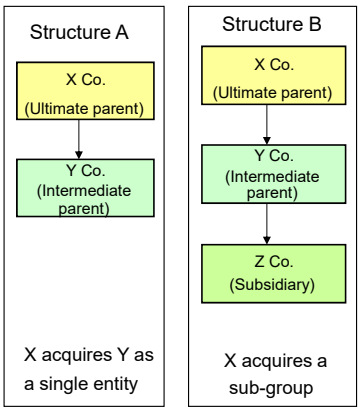
Simultaneous or Multiple Consolidation

- Ultimate parent will consolidate both direct and indirect subsidiary simultaneously on the same consolidation worksheet
  - Consolidation worksheets incorporate the income statements and statement of financial position of the ultimate parent, intermediate parent(s) and subsidiaries
  - Lower tier subsidiary income is allocated to the indirect NCI immediately
- Intermediate parent is exempted from preparing consolidation when the intermediate parent:
  - Is a wholly-owned or partially-owned subsidiary of another entity and the owners do not object to the parent not presenting consolidated statements;
  - Has no debt and equity instruments that are publicly traded;
  - Has not filed or is not in the process of filing its financial statements with a securities commission or other regulatory organization for the purpose of issuing any class of instrument in a public market; and
  - The ultimate parent prepare IFRS-compliant consolidated financial statements

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Simultaneous Consolidation

1. Elimination of investment
   - Under structure A
     - Investment in Y will be eliminated against Y's shareholder's equity at acquisition date
   - Under structure B (existing sub-group)
     - Investment in Y will be eliminated against the consolidated shareholder's equity of Y. A fair valuation of the sub-group is carried out at acquisition of the sub-group. Goodwill determined at this point
     - Investment in Z will be eliminated against the share capital, pre-acquisition retained earnings, other comprehensive income and other reserves of Z. A fair valuation of Z is carried out

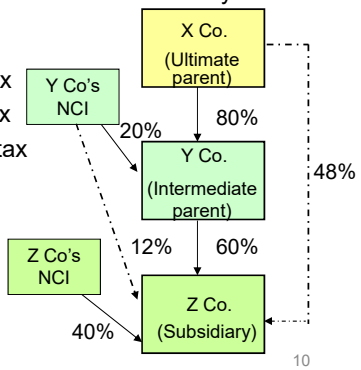


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Simultaneous Consolidation

2. Allocation of post-acquisition profits or losses to NCI
   - Both direct and indirect NCI have a share of post-acquisition profit or loss
   - In the group structure, income is allocated to both direct NCI of the immediate subsidiary and indirect NCI of the lower tier subsidiary

Example:
- Direct NCI: 20% of Y Co's net profit after tax
  : 40% of Z Co's net profit after tax
- Indirect NCI: 12% of Z Co's net profit after tax



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Simultaneous Consolidation

3. Elimination of dividend income against dividends declared
   - Only applies to direct NCI; dividends are paid to legal owners

4. In determining the indirect NCI's share of profit of an indirect subsidiary:
   - Dividend income from lower-tier subsidiary recorded by the intermediate parent is removed
   - Avoid recognizing income in two forms (as share of profit and dividend income)

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Illustration 1: Simultaneous Consolidation

Acquisition details are as follows:

	A Ltd	B Ltd
Acquired by	P Ltd	A Ltd
Date of acquisition	1 Jan 20×0	1 July 20×0
Equity at acquisition		
Share capital	$30,000	$30,000
Retained earnings	$10,000	$5,000
	$40,000	$35,000
Fair value of consideration transferred	$32,000	$35,000
Percentage acquired	75%	80%
FV of NCI	$10,000	$8,000
Book value of net identifiable assets is close to FV at acquisition date		

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Illustration 1: Simultaneous Consolidation

Income statement and partial Statement of Changes in Equity for the year ended 31 Dec 20×2:

	P Ltd	A Ltd	B Ltd
Operating profit	$20,000	$12,000	$19,000
Dividend income	6,000	4,000	-
Tax	(4,000)	(2,400)	(3,800)
Profit after tax	22,000	13,600	15,200
RE, I Jan 20×2	21,000	17,000	6,000
Dividends declared	(12,000)	(8,000)	(5,000)
RE, 31 Dec 20×2	$31,000	$22,600	$16,200

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Illustration 1: Simultaneous Consolidation

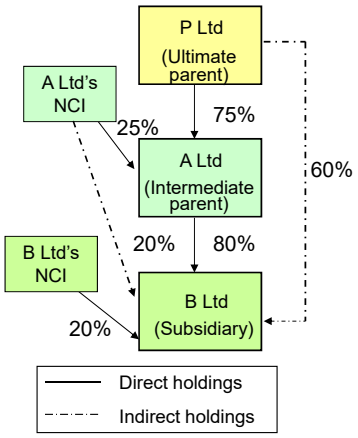
Statement of Financial Position as at 31 Dec 20×2:

	P Ltd	A Ltd	B Ltd
Share capital	$60,000	$30,000	$30,000
Retained earnings	31,000	22,600	16,200
	$91,000	$52,600	$46,200
Investment in A Ltd	$32,000		
Investment in B Ltd		$35,000	
Other non-current assets	31,000	20,000	23,000
Current assets	90,000	35,000	40,000
Current liabilities	(62,000)	(37,400)	(16,800)
	$91,000	$52,600	$46,200

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Illustration 1: Simultaneous Consolidation

- Step 1: Identify direct and indirect NCI in the group structure



	A Ltd	B Ltd
Direct NCI	25%	20%
Indirect NCI in B (25% × 80%)	-	20%
Total NCI	25%	*40%

*Alternatively, subtract from 100%, P's effective interest in B or 60% (75% × 80%). Remaining effective interest of 40% represents both direct and indirect NCI in B

Indirect NCI will have a share of post-acquisition retained earnings and current profit. Only direct NCI feature in the elimination of share capital and dividends

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Illustration 1: Simultaneous Consolidation

- Step 2: Eliminate investment in A

CJE 1: Eliminate investment in A as at acquisition date (1 January 20×0)			
Dr	Share capital	30,000	
Dr	Retained earnings	10,000	
Dr	Goodwill*	2,000	
Cr	Investment in A		32,000
Cr	Non-controlling interests		10,000

Goodwill = FV of consideration transferred + FV of NCI – FV of net identifiable assets
= $32,000 + $10,000 – $40,000
= $2,000

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Illustration 1: Simultaneous Consolidation

- Step 2: Eliminate investment in B

CJE 2: Eliminate investment in B as at acquisition date (1 July 20×0*)			
Dr	Share capital	30,000	
Dr	Retained earnings	5,000	
Dr	Goodwill**	8,000	
Cr	Investment in B		35,000
Cr	Non-controlling interests		8,000

*A acquired B on 1 July 20×0 after P acquired A. Hence, effectively, P acquired B on 1 July 20×0
**Goodwill = FV of consideration transferred + FV of NCI – FV of net identifiable assets
= $35,000 + $8,000 – $35,000
= $8,000

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Illustration 1: Simultaneous Consolidation

- Step 3: Allocate NCI's share of post-acquisition retained earnings from the date of acquisition to the beginning of the year

CJE 3: Allocate share post-acquisition retained earnings to direct NCI of A			
Dr	Retained earnings	1,750	
Cr	Non-controlling interests		1,750

RE at the beginning of the year	$**17,000**
RE at the acquisition date	10,000
Change in RE	$7,000
NCI's share (25%)	$1,750

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Illustration 1: Simultaneous Consolidation

- Step 3: Allocate NCI's share of post-acquisition retained earnings from the date of acquisition to the beginning of the year

CJE 4: Allocate post-acquisition retained earnings to direct and indirect NCI of B

Dr	Retained earnings	400	
Cr	Non-controlling interests		400

RE at the beginning of the year	6,000
RE at the acquisition date	5,000
Change in RE	1,000
NCI's share (40%)*	400

*Indirect NCI also have a share in the change of RE

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Illustration 1: Simultaneous Consolidation

- Step 4: Allocate NCI's share of current profit after tax

CJE 5: Allocate current profit after tax to direct NCI of A

Dr	Income to non-controlling interests	2,400	
Cr	Non-controlling interests		2,400

A's profit after tax for 20×2	$13,600
Less: dividend income from B*	(4,000)
Change in RE	$9,600
NCI's share (25%)	$2,400

*Dividend income will be excluded to avoid recognizing income in two forms. Assume dividend is tax-exempt.80% x 5,000= 4,000

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Illustration 1: Simultaneous Consolidation

- Step 4: Allocate NCI's share of current profit after tax

CJE 6: Allocate current profit after tax to direct and indirect NCI of B			
Dr	Income to non-controlling interests	6,080	
Cr	Non-controlling interests		6,080

B's profit after tax for 20×2	**$15,200**
Direct and indirect NCI's share (40%)	$6,080

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Illustration 1: Simultaneous Consolidation

- Step 5: Elimination of dividends declared by A & B

CJE 7: Eliminate dividends declared by B				
Dr	Dividend income (A)	4,000		
Dr	Non-controlling interests	1,000	(20% × $5,000)	
Cr	Dividends declared (B)			5,000

CJE 8: Eliminate dividends declared by A				
Dr	Dividend income (P)	6,000		
Dr	Non-controlling interests	2,000	(25% × $8,000)	
Cr	Dividends declared (A)			8,000

- Step 6: Compile the legal entities' financial statements in one consolidation worksheet
  - Enter the consolidation adjustments above
  - Perform analytical check of non-controlling interests

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Illustration 1: Simultaneous Consolidation

- Analytical check of NCI in A Ltd

Direct NCI in B Ltd (20%)		
Book value of equity of B Ltd	$46,200	
Share of book value of equity of B Ltd=46,200 x 20%		$9,240
Fair value of NCI	8,000	
Less: Share of fair value of identifiable net assets:35,000 x 20%	7,000	
Goodwill attributable to NCI		1,000
		$10,240

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Illustration 1: Simultaneous Consolidation

- Analytical check of NCI in A Ltd

Direct NCI in A Ltd (25%)		
Book value of equity of B Ltd	$52,600	
Less: Investment in B Ltd	35,000	
	$17,600	
Share of book value of equity of A Ltd		$4,400
Fair value of NCI	10,000	
Less: Share of fair value of identifiable net assets	10,000	
Goodwill attributable to NCI		0
		$4,400

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Illustration 1: Simultaneous Consolidation

- Analytical check of NCI in A Ltd

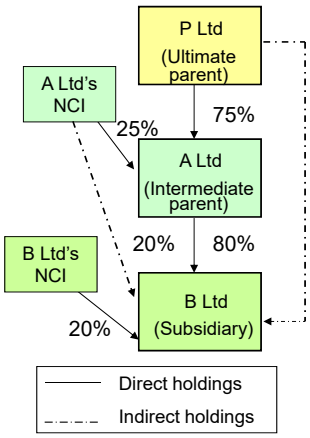
Indirect NCI in B Ltd (25% × 80%)	20%	
Book value of equity of B Ltd	$46,200	
Share of book value of equity of B Ltd		$9,240
Investment in B Ltd	35,000	
Less: Share of fair value of B's identifiable net assets	28,000	
A's goodwill in B Ltd	7,000	
Share of A's goodwill in B Ltd		1,750
		$10,990

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Illustration 1: Simultaneous Consolidation

- Analytical check of NCI in A Ltd

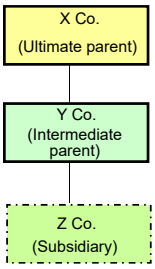
Total balance of NCI	
Direct NCI in B Ltd (20%)	$10,240
Direct NCI in A Ltd (25%)	4,400
Indirect NCI in B Ltd (25% × 80%)	10,990
	$25,630



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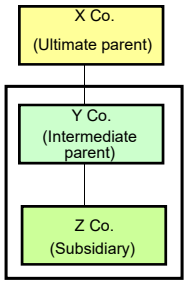
Sequence of Acquisition of the Intermediate Parent & Indirect Subsidiary

Acquired a stand-alone entity



Group structure at date of acquisition by ultimate parent (Y acquired Z after X acquired Y)

Acquired an existing sub-group of companies

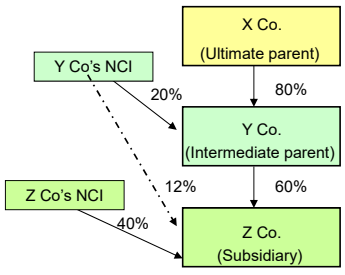


Group structure at date of acquisition by ultimate parent (Y acquired Z before X acquired Y)

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Acquisition of an Indirect Subsidiary after the Intermediate Parent is Acquired



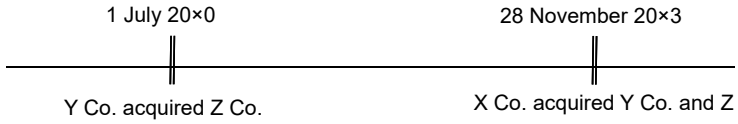


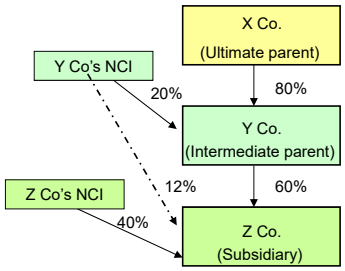
On acquisition date (28 November 20×3),

- Goodwill in Z Co. attributable to Y Co. = Investment in Z Co. – 60% × Fair value of Identifiable Net Assets of Z Co.
- Indirect NCI in Z Co. is made up of the following components:
  - 20% of the Goodwill of Z Co. recognized in Y Co.
  - 12% of the FV-BV of the Identifiable Net Assets in Z Co. on acquisition date
  - 12% of the BV in Z Co.

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Acquisition of a Sub-group that Includes an Indirect Subsidiary





On acquisition date (28 November 20×3),

- IFRS 3 Business Combination requires the acquirer to measure the NCI at either full FV at acquisition date (Alt 1) or as a proportion of the FV of Identifiable Net Assets (Alt 2).
- NCI at sub-group will be measured at fair value at acquisition date. Goodwill attributable to NCI of intermediate parent and subsidiaries will have to be determined on the basis of the imputed FV at acquisition date.

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Acquisition of an Existing Sub-group

1. Elimination of investment account as at date of acquisition by ultimate parent
   - Against the pre-acquisition retained earnings of each entity in the sub-group at the date of acquisition by the ultimate parent must be eliminated.
2. Goodwill on acquisition of the intermediate parent
   - = Consideration transferred + FV of NCI – FV of *consolidated* net identifiable assets of intermediate parent
   - Any goodwill and fair value adjustments that are earlier recognized in the sub-group as a result of the acquisition of the indirect subsidiary is ignored
   - Fair valuation of the sub-group is required at acquisition date
3. NCI of intermediate parent as at date of acquisition by ultimate parent have a share of:
   - Fair value of direct interests in the intermediate parent; and
   - Indirect interests in the subsidiaries held by intermediate parent
4. Subsequent to date of acquisition by ultimate parent
   - NCI of intermediate parent continues to have a share of change in RE of the indirect subsidiary
   - Other consolidation adjustments apply in the usual manner as seen in earlier chapters

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Analytical Checks on Direct & Indirect NCI

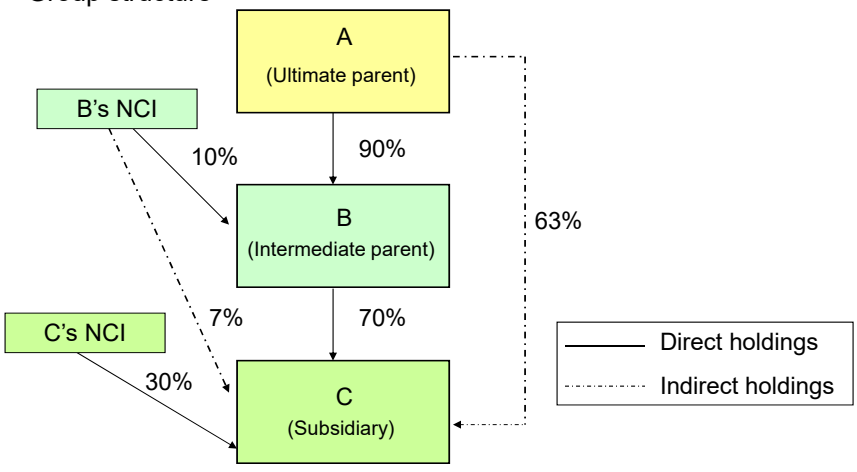
Direct NCI's balance at year-end	=	Direct NCI's share of: a) Book value of net assets of intermediate parent as a legal entity at year-end less any investment in indirect subsidiary b) Unamortized balance of fair value adjustments of intermediate parent at year-end c) Unimpaired balance of goodwill at year-end*
Indirect NCI's balance at year-end	=	Indirect NCI's share of: a) Book value of net assets of indirect subsidiary at year-end b) Unamortized balance of fair value adjustments of indirect subsidiary at year-end c) Unimpaired balance of goodwill at year-end*

*Goodwill may be combined as the fair value of NCI of the intermediate parent at acquisition date is often determined for the sub-group as a unit.

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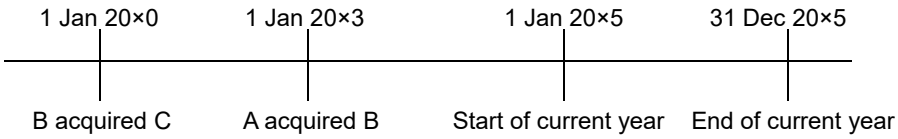
Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

- Group structure



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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies



B acquired C

Percentage acquired	70%
Date of acquisition	1 Jan 20×0
Fair value of consideration transferred	$4,000,000
Fair value of NCI in C	$1,600,000
Fair value of land of C	$2,000,000
Carrying amount (book value) of land of C	$1,400,000

Note: land of C was under-valued at both dates. Land was unsold and proceeds if any are tax exempt and deferred tax liability need not be recognized.

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

	1 Jan 20×0	1 Jan 20×3	1 Jan 20×5
Share capital of C	$1,500,000	$1,500,000	$1,500,000
Retained earnings of C	2,000,000	5,000,000	7,000,000
Shareholders' equity of C	$3,500,000	$6,500,000	$8,500,000

Net profit of C for year ended 31 Dec 20×5	$1,000,000
Dividends declared by C during 20×5	(60,000)
Profit retained	$940,000
Retained earnings of C as at 31 Dec 20×5	$7,940,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

A acquired B

Percentage acquired	90%
Date of acquisition	1 Jan 20×3
Fair value of consideration transferred	$20,000,000
Fair value of NCI in B	$1,700,000
Fair value of direct NCI in C	$2,400,000
Fair value of land of C	$2,300,000
Carrying amount of land of C	$1,400,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

	1 Jan 20×3	1 Jan 20×5
Share capital of C	$6,000,000	$6,000,000
Retained earnings of C	5,900,000	7,200,000
Shareholders' equity of C	**$11,900,000**	$13,200,000

Net profit of B for year ended 31 Dec 20×5	$2,000,000
Dividends declared by B during 20×5	(200,000)
Profit retained	$1,800,000
Retained earnings of B as at 31 Dec 20×5	$9,000,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Consolidation adjustments as at 31 Dec 20×5

CJE1: Elimination of investment in B and investment in C as at 1 Jan 20×5				
Dr Share capital (B)	6,000,000			
Dr Share capital (C)	1,500,000			
Dr Retained earnings (B)	5,900,000			
Dr Retained earnings (C)	5,000,000			
Dr Land	900,000			
Dr Goodwill	8,800,000	(Note 1)		
Cr Investment in B (A)			20,000,000	
Cr Investment in C (B)			4,000,000	
Cr NCI in B			1,700,000	(Note 3)
Cr NCI in C			2,400,000	(Note 4)

(6,000+1,500+ 5,900+ 5,000+900)-(20,000+4,000+1,700+2,400)=8,800

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Note 1:

Goodwill

= FV of consideration transferred + FV of NCI in B + FV of NCI in C – FV of identifiable net assets

= $20,000,000 + $1,700,000 + $2,400,000 – $15,300,000 *(Note 2)*

= $8,800,000

Note 2:

FV of identifiable net assets

= BV of net assets of B as at 1 Jan 20×3 (after deducting B's investment in C to avoid double counting of net assets) + BV of net assets of C as at 1 Jan 20×3 + Excess of FV of land of C as at 1 Jan 20×3

= ($11,900,000 – $4,000,000) + $6,500,000 + $900,000

= $15,300,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Note 3:

NCI in B has a fair value of $1,700,000 as at 1 Jan 20×3. Fair value comprises the NCI's share of net identifiable assets and goodwill.

NCI in B and indirect NCI in C	Total	NCI's share at 10%
B's shareholders' equity or net assets at 1 Jan 20×3	$11,900,000	
Less: Investment in C	(4,000,000)	
Adjusted Net assets of B	$7,900,000	$790,000
C's book value of equity or net assets as at 1 Jan 20×3	6,500,000	
B's share (7%)	4,550,000	455,000*
FV-BV of land of C	900,000	
B's share (7%)	630,000	63,000**
Fair value of INA		1,308,000
Goodwill attributable to B's NCI (residual)		392,000
Fair value of NCI of B on 1 Jan 20×3		$1,700,000

*B's NCI's share of book value of C = 10% × 70% × $6,500,000 = $455,000

**B's NCI's share of fair value excess of land of C = 10% × 70% × $900,000 = $63,000

Fair value of consideration transferred: 4,000,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Note 4:

Fair value of C's NCI as at 1 Jan 20×3 is $2,400,000.

	Total	NCI's share at 30%
C's shareholders' equity as at 1 Jan 20×3	$6,500,000	$1,950,000
Share of fair value of excess of land		270,000
NCI's goodwill		$180,000*
NCI in C		$2,400,000

*NCI's goodwill = FV of NCI – share of FV of net identifiable assets of C
= $2,400,000 – (30% × $6,500,000) – (30% × $900,000)
= $180,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

CJE 2: Allocate B's post-acquisition retained earnings to NCI

Dr	Opening retained earnings	130,000	
Cr	Non-controlling interests		130,000

RE of B as at 1 Jan 20×5	$7,200,000
RE of B as at 1 Jan 20×3	5,900,000
Change in RE of B	$1,300,000
Direct NCI's share (10%)	130,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

CJE 3: Allocate C's post-acquisition retained earnings to NCI

Dr	Opening retained earnings	600,000	
Cr	Non-controlling interests		600,000

RE of C as at 1 Jan 20×5	$7,000,000
RE of C as at 1 Jan 20×3	5,000,000
Change in RE of C	$2,000,000
NCI's share (30%)	600,000

Direct non-controlling interests' share of retained earnings of C on 1 January 20×3 is accounted for in CJE1

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

CJE 4: Allocate C's post-acquisition retained earnings to indirect NCI

Dr	Opening retained earnings	140,000	
Cr	Non-controlling interests		140,000

RE of C as at 1 Jan 20×5	$7,000,000
RE of C as at 1 Jan 20×3	5,000,000
Change in RE of C	$2,000,000
Indirect NCI in C (10% × 7%)	7%
NCI's share	140,000

This entry can be combined with CJE 3. Indirect NCI's share of change in RE of C from 1 Jan 20×0 to 1 Jan 20×3 is accounted for in the recognition of fair value of NCI in B Co. (and indirect NCI in C Co.) in CJE 1.

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

CJE 5: Allocate current profit after tax of C to direct & indirect NCI

Dr	Income to non-controlling interests	370,000	
Cr	Non-controlling interests		370,000

Net income of C for 20×5	$1,000,000
Total NCI's share (37%)	$370,000

CJE 6: Allocate current profit after tax of B to direct NCI

Dr	Income to non-controlling interests	195,800	
Cr	Non-controlling interests		195,800

Net income of B for 20×5	$2,000,000
Less: dividend income from C included in B's net income	(42,000)
Adjusted net income of B for 20×5	$1,958,000
Direct NCI's share	$195,800

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

CJE 7: Eliminate dividends declared by C		
Dr Dividend income (B)	42,000	
Dr Non-controlling interests	18,000	
Cr Dividends declared by C		60,000

CJE 8: Eliminate dividends declared by B		
Dr Dividend income (A)	180,000	
Dr Non-controlling interests	20,000	
Cr Dividends declared by B		200,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

	Total NCI	Direct NCI in B*	Direct NCI in C**	Indirect NCI in C**
CJE 1: B's NCI and C's NCI at date of acquisition of B	$3,100,000	1,490,000	2,400,000	210,000
CJE 2: Allocation of B's post acquisition RE to direct NCI of B	130,000	130,000		
CJE 3: Allocation of C's post acquisition RE to direct NCI of C	600,000		600,000	
CJE 4: Allocation of C's post acquisition RE to indirect NCI of C	140,000			140,000
CJE 5: Allocation of current profit of C	370,000		300,000	70,000
CJE 6: Allocation of current profit of B	195,800	195,800		
CJE 7: Elimination of dividends from C	(18,000)		(18,000)	
CJE 8: Elimination of dividends from C	(20,000)	(20,000)		
	$5,497,800	$1,795,800	$3,282,000	$420,000

*Including indirect NCI in B Co.
**Separation is optional: reconciliation is done for total NCI in C
Total NCI in C = $1,795,800 + $420,000 = $2,215,800

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Analytical Check on NCI	Total	NCI's Share of B at 10%
B's Net assets at 31 Dec 20×5	$15,000,000	
Less: Investment in C	(4,000,000)	
	$11,000,000	$1,100,000
C's book value of equity or net assets at 31 Dec 20×5	9,440,000	
B's share (7%)	6,608,000	660,800
FV-BV of land of C	900,000	
B's share (7%)	630,000	63,000
Goodwill attributable to B's NCI (CJE 1)		392,000
NCI of B and Indirect NCI of C on 31 Dec 20×5		$2,215,800

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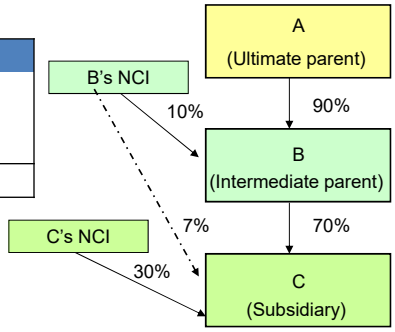
Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Analytical Check on NCI	Total	Direct NCI's share of C at 30%
C's book value of equity or net assets at 31 Dec 20×5	$9,440,000	$2,832,000
FV-BV of land of C	900,000	270,000
Goodwill attributable to B's NCI (CJE 1)		180,000
Direct NCI of C on 31 Dec 20×5		$3,282,000

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Analytical Check on NCI	
Direct NCI of B and Indirect NCI in C Ltd	$2,215,800
Direct NCI in C Ltd (30%)	3,282,000
Total NCI	$5,497,800



A check on indirect NCI in a multi-tier hierarchy is more complex. By virtue of their interest through an intermediate parent, we need to remove the investment included on the intermediate parent's statement of financial position to avoid double counting of the net assets of the indirect subsidiary.

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Listing Approach:

A's RE as at 31 Dec 20×5	$12,000,000
B's RE as at 31 Dec 20×5	9,000,000
C's RE as at 31 Dec 20×5	7,940,000
CJE 1 Elimination of pre-acquisition RE of B	(5,900,000)
CJE 1 Elimination of pre-acquisition RE of C	(5,000,000)
CJE 2 Allocation of post acquisition RE of B to B's NCI	(130,000)
CJE 3 Allocation of post acquisition RE of C to direct NCI	(600,000)
CJE 4 Allocation of post acquisition RE of C to indirect NCI	(140,000)
CJE 5 Allocation of current profit to total NCI of C	(370,000)
CJE 6 Allocation of current profits to B's NCI	(195,800)
CJE 7 Elimination of dividends from C	18,000
CJE 8 Elimination of dividends from B	20,000
Consolidated RE as at 31 Dec 20×5	**$16,642,200**

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Illustration 2: Simultaneous Consolidation of an Existing Sub-group of Companies

Analytical check of consolidated RE as at 31 Dec 20×5:

A's RE as at 31 Dec 20×5	$12,000,000
A's share of B's post acquisition RE (Note 1)	2,790,000
A's share of C's post acquisition RE (Note 2)	1,852,200
Consolidated RE as at 31 Dec 20×5	**$16,642,200**

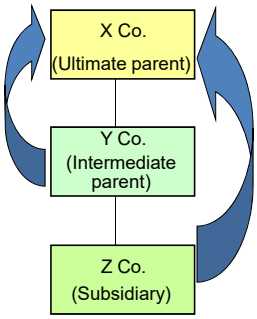
Note 1: 90% × ($9,000,000 – $5,900,000)
Note 2: 90% × 70% × ($7,940,000 – $5,000,000)

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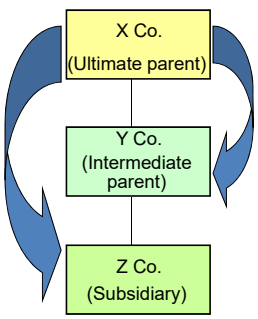
Impact of Adjustments of Unrealized Profit on Indirect NCI

- Unrealized profit included in the profit or retained earnings of the selling company
  - Will be adjusted out, and
  - Allocated to both direct and indirect NCI

Upstream sale



Downstream sale



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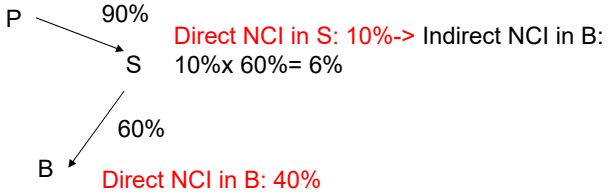
Impact of Fair Value Adjustments on Indirect NCI

- Indirect NCI have a share of the net assets and the fair value adjustments of an indirect subsidiary at the date of acquisition
- During the post-acquisition period, both NCI and intermediate parent have to bear a share of the amortization of the fair value adjustments
  - Indirect NCI have a share of the intermediate parent's profit or losses
  - Indirect NCI also bears a share of the amortization of fair value adjustments that are borne by the intermediate parent
  - Effects of past cumulative and present amortization of fair value adjustments will be allocated to direct and indirect NCI

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Illustration 3: Simultaneous Consolidation with Fair Value Adjustments

	Acquired Company	
	S Co.	B Co.
Acquirer	P Co.	S Co.
Date of acquisition	1 Jan 20×1	1 July 20×1
Percentage acquired	90%	60%
Direct NCI	10%	40%
FV of NCI	250,000	80,000
Cost of consideration transferred	2,500,000	300,000



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Illustration 3: Simultaneous Consolidation with Fair Value Adjustments

Statement of Financial Position as at acquisition

	S Co. Book value	S Co. Fair Value	B Co. Book value	B Co. Fair Value
Intangible assets		250,000		
Inventory	400,000	450,000	60,000	55,000
Other net assets	900,000	900,000	100,000	100,000
Net assets	1,300,000	1,600,000	160,000	155,000
Share capital	1,000,000		50,000	
Retained earnings	300,000		110,000	
Equity	1,300,000		160,000	

Additional information:

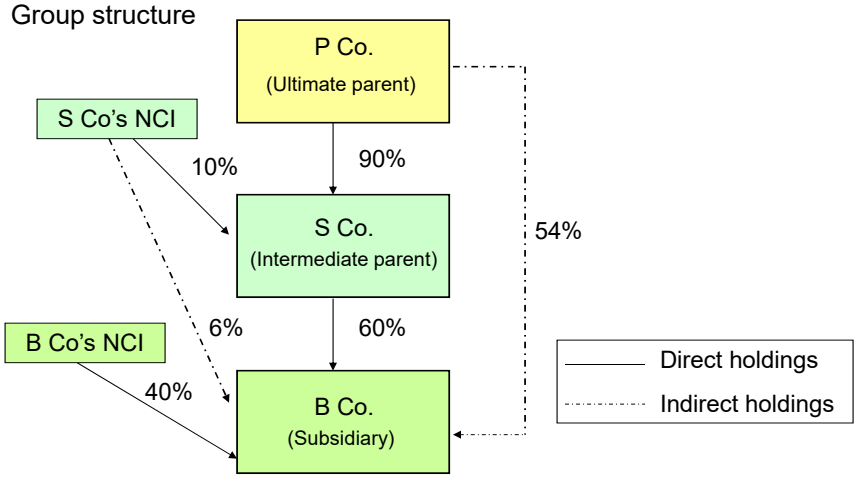
- Intangible assets have an estimated useful life of five years from date of acquisition by P.
- Inventory at acquisition date was sold off in 20×2
- Tax rate 20%

Required:Prepare consolidation adjustmentsmfor the year ended 31 Dec 20X3 using the simultanous method of consolidation.

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Illustration 3: Simultaneous Consolidation with Fair Value Adjustments

- Group structure



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Illustration 3: Simultaneous Consolidation with Fair Value Adjustments

Q1: Prepare the journal entries for FV adjustments for YE 20×3

CJE 1: Recognize past amortization of intangible assets			
Dr	Opening retained earnings	90,000	
Dr	Non-controlling interests (10%)	10,000	
Cr	Accumulated amortization(250k/5)x2(X1,X2)		100,000
CJE 2: Tax effects of CJE 1			
Dr	Deferred tax liability	20,000	
Dr	Opening retained earnings		18,000
Cr	Non-controlling interests (10%)		2,000
CJE 3: Recognize past cost of sale of overvalued inventory			
Dr	Opening retained earnings	45,000	
Cr	Non-controlling interests (10%)	5,000	
Cr	Inventory		50,000

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Illustration 3: Simultaneous Consolidation with Fair Value Adjustments

CJE 4: Tax effects of CJE 3			
Dr	Deferred tax liability	10,000	
Cr	Opening retained earnings		9,000
Cr	Non-controlling interests		1,000
CJE 5: Recognize current amortization of intangible assets			
Dr	Amortization of intangible assets	50,000	
Cr	Accumulated amortization		50,000
CJE 6: Tax effects of CJE 5			
Dr	Deferred tax liability	10,000	
Cr	Tax expense		10,000

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Indirect Holding of Associates

- Indirect holding of an associate through a subsidiary

1. S equity accounts 50% the results of A
2. P consolidates S and S's share of A's profit
3. Income to non-controlling interests should include non-controlling interests' share (5%) of A's profit

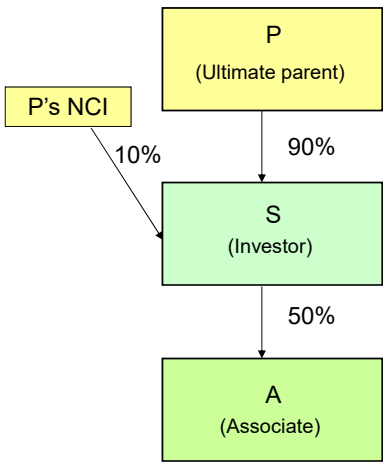


Figure 6.6

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Indirect Holding of Associates

- Indirect holding of an associate through an associate

1. No non-controlling interests in this structure
2. P equity accounts
   - 50% of S's profit
   - 25% of A's profit
3. Only investment in S will appear on P's balance sheet

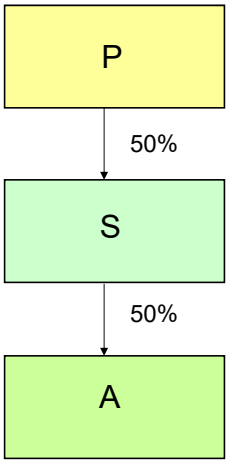


Figure 6.7

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Illustration 4: Indirect Holding of an Associate Held through a Subsidiary

	S Co.	A Co.
Acquirer	P Co.	S Co.
Date of acquisition	30 Jul 20×2	4 May 20×3
Percentage acquired	60%	40%
Share capital at acquisition date	$5,000,000	$1,000,000
RE at acquisition date	3,000,000	200,000
Shareholders' equity at acquisition date	$8,000,000	$1,200,000
FV of consideration transferred	6,500,000	1,000,000
FV of NCI	4,400,000	-

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Illustration 4: Indirect Holding of an Associate Held through a Subsidiary

	P Co.	S Co.	A Co.
Net profit before tax	$11,982,000	$997,000	$250,000
Tax	(2,382,000)	(197,000)	(50,000)
Net profit after tax	9,600,000	800,000	200,000
Dividends declared	(1,500,000)	120,000	(40,000)
Profit retained	8,100,000	680,000	160,000
Retained earnings, 1 Jan 20×5	30,000,000	4,500,000	300,000
Retained earnings, 31 Dec 20×5	$38,100,000	$5,180,000	1,000,000

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Illustration 4: Indirect Holding of an Associate Held through a Subsidiary

Q1: Prepare the consolidation and equity accounting entries for 20×5

CJE1: Elimination of investment in S				
Dr Share capital (S)	5,000,000			
Dr Retained earnings (S)	3,000,000			
Dr Goodwill	2,900,000	(Note 1)		
Cr Investment in S			6,500,000	
Cr NCI			4,400,000	(Note 2)

Note 1:
Goodwill
= FV of consideration transferred + FV of NCI – FV of identifiable net assets
= $6,500,000 + $4,400,000 – $8,300,000
= $2,900,000

Note 2: Fair value of NCI as at acquisition date is comprised of:
1) Share of fair value of net identifiable assets (40% × $8,000,000 = $3,200,000); and
2) Share of goodwill ($4,400,000 – $3,200,000 = $1,200,000)

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Illustration 4: Indirect Holding of an Associate Held through a Subsidiary

CJE 2: Allocation of post-acquisition retained earnings of S to NCI

Dr Retained earnings (S)	600,000	
Cr NCI		600,000

Retained earnings at 1 Jan 20×5	$4,500,000
Retained earnings at acquisition	(3,000,000)
Change in retained earnings	$1,500,000
NCI's share (40%)	600,000

CJE 3: Elimination of dividend income received from S

Dr Dividend income	72,000	($120,000 × 60%)
Dr NCI	48,000	($120,000 × 40%)
Cr Dividends declared (S)		120,000

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Illustration 4: Indirect Holding of an Associate Held through a Subsidiary

CJE 4: Equity accounting of profits by S

Dr Investment in A	60,000	($200,000 × 30%)
Cr Dividends declared (S)		60,000

CJE 5: Allocation of current profit after tax to NCI

Dr Income to NCI	339,200	
Cr NCI		339,200

Net profit after tax of S	$800,000
Less: dividend income from A ($40,000 × 30%)	(12,000)
Add: share of profit after tax of A	(60,000)
Net profit after tax of S excluding dividend from A	$848,000
NCI's share (40%)	$339,200

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Illustration 4: Indirect Holding of an Associate Held through a Subsidiary

CJE 6: Reclassification of dividend from A			
Dr Dividend income (S)	12,000	($40,000 × 30%)	
Cr Investment in A			12,000

CJE 7: Reclassification of dividend from A			
Dr Investment in A	30,000		
Cr Retained earnings		18,000	($30,000 × 60%)
Cr NCI		12,000	($30,000 × 40%)

Retained earnings at 1 Jan 20×5	$300,000
Retained earnings at acquisition	(200,000)
Change in retained earnings	$100,000
S's share (30%)	$30,000

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Business Combination Achieved in Stages

- Achieving control through incremental purchases
- Determine fair value of goodwill at acquisition date when control is obtained
- Measurement procedures:
  - Previously-held interest must be remeasured to fair value at acquisition date when control is achieved
  - Remeasurement gain or loss will be taken to income statement
    - Rationale for the remeasurement is that a significant economic event has occurred, and there is a fundamental change in relationship between investor and investee.
  - If the acquirer has previously recognized gain in the equity for available-for-sale securities
    - IFRS 3:42 requires the cumulative fair value changes that are recognized directly in other comprehensive income will be accounted for in a manner as if the acquirer had disposed of the previously held equity interests.
    - Under IFRS 9, the fair value change of an equity investment that is classified as fair value through other comprehensive income would not be reclassified to income statement on disposal.

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Goodwill in a Business Combination Achieved in Stages

If business combination is achieved in stages, the goodwill calculation will include a new element, the fair value of previously held interest as follows:

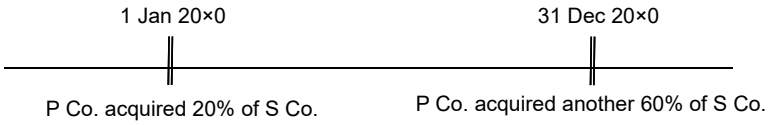
Goodwill = (Fair value of consideration transferred + Fair value of non-controlling interests + Acquisition date fair value of the acquirer's previously held equity interest in the acquiree) - Fair value of net identifiable assets of the acquiree at the acquisition date

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Illustration 5: Business Combination Achieved in Stages

P acquired S in two successive purchases:

Date	Acquisition cost paid for incremental investment	Fair value of S as an entity	Percentage acquired in incremental investment	Cumulative percentage held by P
1 Jan 20×0	$3,000,000	$15,000,000	20%	20%
31 Dec 20×0	$12,000,000	$20,000,000	60%	80%



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Illustration 5: Business Combination Achieved in Stages

NCI are measured at fair value and are deemed to have a proportionate interest in the fair value of S as an entity.

	1 Jan 20×0 Book Value	1 Jan 20×0 Fair Value	31 Dec 20×0 Book Value	31 Dec 20×0 Fair Value
Intangible assets	$0	$1,800,000	$0	$1,600,000
Inventory	1,000,000	1,200,000	2,000,000	2,400,000
Other net assets	9,000,000	9,000,000	12,000,000	12,000,000
Net identifiable assets	$10,000,000	$12,000,000	$14,000,000	$16,000,000
Share capital	$4,000,000		$4,000,000	
Retained earnings	6,000,000		10,000,000	
	$10,000,000		$14,000,000	

Intangible assets had a remaining useful life of 6 years from 1 January 20×0.

Inventories were sold within 3 months from the acquisition date.

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Illustration 5: Business Combination Achieved in Stages

Income statement of S Co. for the year 20×0

	2x0
Net profit before tax	$6,250,000
Tax expense	(1,250,000)
Net profit after tax	5,000,000
Dividends declared	(1,000,000)
Profit retained	4,000,000

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Illustration 5: Business Combination Achieved in Stages



Since P had 20% equity interest in S during 20×0 and hence P had to equity account S's profit for the year ended 31 Dec 20×0.

EA1: Share of profit for the year ended 31 December 20×0		
Dr Investment in S	920,000	
Cr Share of profit		920,000

Profit after tax of S	$5,000,000
Less: Amortization of intangible assets after-tax	(240,000)
Less: Cost of sales from undervalued inventory, after-tax	(160,000)
Adjusted profit after tax	$4,600,000
Share of S's profit after tax at 20%	$920,000

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Illustration 5: Business Combination Achieved in Stages

EA2: Reclassification of dividend income received during 20×0		
Dr Dividend income	200,000	
Cr Investment in S		200,000

EA3: Recognition of remeasurement gain in consolidated financial statements		
Dr Investment in S	280,000	
Cr Gain on remeasurement		280,000

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Illustration 5: Business Combination Achieved in Stages



With the obtaining of control on 31 Dec 20×0, the investment balance has to be eliminated and goodwill recognized on acquisition date.

CJE1: Elimination of investment and recognition of goodwill				
Dr Share capital	4,000,000			
Dr Retained earnings	10,000,000			
Dr Goodwill	4,400,000	(Note 3)		
Dr Intangible assets	1,600,000			
Dr Inventory	400,000			
Cr Deferred tax liability			400,000	(Note 1)
Cr Investment in S			16,000,000	
Cr NCI			4,000,000	(Note 2)

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Illustration 5: Business Combination Achieved in Stages

Note 1:

Deferred tax liability

= 20% × Fair value adjustments of $2,000,000

= $400,000

Note 2:

NCI have to be recognized on 31 December 20×0. The NCI has a proportionate interest in the fair value of S as an entity.

NCI

= 20% × Fair value of S as an entity

= 20% × $20,000,000

= $4,000,000

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Illustration 5: Business Combination Achieved in Stages

Note 3:

Fair value of net identifiable assets

= $16,000,000 – Deferred tax liability of $400,000

= $15,600,000

Goodwill

= (Fair value of consideration transferred at acquisition date + Fair value of NCI + Fair value of acquirer's previously held equity interest in the acquiree at acquisition date) – fair value of net identifiable assets

= ($12,000,000 + $4,000,000 + $4,000,000) – $15,600,000

= $4,400,000

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Loss of Control

- Loss of control of a subsidiary is a significant economic event and requires the investor to measure the retained investment at fair value

Example

- Investor decreases its ownership interests from 70% to 20% by selling 50% of its ownership interests
  - In substance, the investor is selling 70% and buying 20%
  - Income statement effect: 70% comprising the gain or loss from the actual sale of 50% and a "re-measurement" gain or loss from the retained 20% interests
  - Same principle applies in the case when control is obtained

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Loss of Control

- Determine the following amounts at the date when control is lost:
  - Derecognize the assets and liabilities of the subsidiary including goodwill and unamortized balance of fair value adjustments.
  - Derecognize the carrying amount of any non-controlling interests.
  - Recognize the fair value of consideration received for the sale of the ownership interests and the gain or loss on sale.
  - Recognize any distribution of shares.
  - Remeasure any retained interests at fair value and recognize the gain or loss on remeasurement.

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Illustration 6.1: Loss of Control

- P Co. decreases ownership on 1 January 20×0 from 90% to 30% by reducing investment from $18 million to $6 million.
- Proceeds = $9 m.
- Fair value of retained investment = $4.5 m.
- P Co's share of post-acquisition profit of subsidiary = $2 m.

	Impact on consolidated financial statements at 1 Jan 20×0
Investment	$4.5 million
Goodwill	Nil (derecognized)
Re-measurement loss (rounded)	($2.2 million) ($4.5 m – ($6 m + (1/3 × $2 m)))
Loss on sale (rounded)	($4.3 million) ($9 m – ($12 m + 2/3 × $2 m))
Equity	Nil (derecognized)

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Illustration 6.1: Loss of Control

Consolidation adjustment in the year when control is lost

Dr Loss on sale	1,300,000	(1)	
Dr Re-measurement loss	2,200,000	(3)	
Cr Investment			1,500,000 (2)
Cr Opening retained earnings			2,000,000 (4)

	Separate FS	Consolidated FS	Consolidation adjustments
Proceeds	9,000,000	9,000,000	
Carrying amount	(12,000,000)	(12m + (60/90 * 2m)) = $13.3 m	
Loss on sale (60%)	(3,000,000)	(4,300,000)	1,300,000 (1)
Retained investment (30%)	6,000,000	4,500,000	1,500,000 (2)

(3) Re-measurement loss is the loss in carrying amount of $1.5 million plus the foregoing of the opening retained earnings (30/90 × 2 m) on the assumed sale of the retained investment
(4) It is necessary to reinstate the opening retained earnings because the investment is no longer a subsidiary at the end of the year and would not appear in the consolidation worksheet

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Illustration 6.1: Loss of Control

- In the subsequent year (20×1), the impact on retained earnings is $1.5 million.

Dr Opening retained earnings	1,500,000	
Cr Investment		1,500,000

- If the subsidiary had other comprehensive income, a similar entry must also be re-enacted to recognize P's share of the subsidiary's revaluation reserves at the date when control was lost

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Illustration 6.1: Loss of Control

- If control was lost during the year, we need to consolidate the subsidiary up to the date when control was lost.
- If change in ownership was 1 July 20×0 and the post acquisition profit is as follows:

From beginning of the year till 1 July 20×0		
Share of post acquisition retained earnings as at 1 Jan 20×0	$1,200,000	
Share of post acquisition revaluation reserves as at 1 Jan 20×0	$350,000	
Share of net profit for first half ended 30 June 20×0	$450,000	(Note 1)

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Illustration 6.1: Loss of Control

Note 1:

Sales	$2,000,000
Less: Cost of Sales	$1,200,000
Gross Profit	$800,000
Less: Expenses (including tax)	$300,000
Net Profit after Tax	$500,000
Income attributable to NCI (10%)	$50,000
Profit retained	$450,000

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Illustration 6.1: Loss of Control

Consolidation adjustment as follows:

Dr Loss on sale (PL)	1,300,000		
Dr Remeasurement loss (PL)	2,200,000		
Cr Investment		1,500,000	
Cr Opening retained earnings		1,200,000	
Cr Opening revaluation reserves		350,000	
Cr Retained earnings		450,000	(Note 2)

Note 2:

- It is insufficient to show a single line entry in retained earnings, and the investor has to consolidate on a line-by-line basis, for the period when it has control.
- The net effect of the line-by-line consolidation is to increase retained earnings by $450,000 up to the date when control is lost.

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Illustration 6.2: Gain of Control

- P Co. increases ownership from 30% to 80% on 1 Jan 20×10 by increasing investment from $2 million to $17 million.
- Fair value of previously acquired investment = $6 m.
- Investment in associate (equity-accounted) as at 31 Dec 20×9 = $3.5 m.
- Fair value of identifiable net assets on 1 Jan 20×10 = $20 m.
- Share capital = $10 m; Pre-acquisition retained earnings = $6 million; Unrecognized intangible asset = $5 m; Tax rate = 20%
- Fair value of NCI on 1 Jan 20×10 = $4 m.

	Impact on consolidated financial statements at 1 Jan 20×10
Investment	Nil
Goodwill	$5 million (($15 m + $6 m + $4 m) – $20 m)
Re-measurement gain	$2.5 million ($6 m – $3.5 m)
Non-controlling interest	$4 million

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Illustration 6.2: Gain of Control

- Re-enactment of equity accounting of post-acquisition retained earnings as at 1 Jan 20×10

Dr Investment in Associate	1,500,000	
Cr Opening retained earnings		1,500,000

Investment in Associate, equity method	$3,500,000
Investment in Associate, initial cost	2,000,000
Share of post acquisition retained earnings	$1,500,000

Re-measure previous interests of 30%		
Dr Investment in subsidiary	2,500,000	
Cr Re-measurement gain		2,500,000

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Illustration 6.2: Gain of Control

Recognize goodwill as of acquisition date		
Dr Goodwill	5,000,000	
Dr Share capital	10,000,000	
Dr Retained earnings	6,000,000	
Dr Intangible asset	5,000,000	
Cr Investment		21,000,000
Cr Deferred tax liability		4,000,000
Cr Non-controlling interests		1,000,000

- Investment in subsidiary of @21 million comprises of fair value of consideration transferred to obtain control ($15 million) and the fair value of previously held interest ($6 million).
- Goodwill of $5 million is subsequently determined with reference to fair values at acquisition date and is not a layering of the results of different cost measures

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Changes in Ownership Interests without Change in Control or Significant Influence

1. No change in control

- Transaction between the control and non-controlling interests and a re-balancing of their ownership interests
  - Purely equity transactions
- Investor required to recognize the gain or loss on sale or purchase directly in equity
  - New goodwill or fair value adjustments are recognized in equity

2. No change in significant influence

  - No special accounting requirements apply

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Illustration 7.1: No Loss or Gain of Control

- P Co. acquired 90% of S Co. on 1 Jan 20×8 for $18 m.
- Fair value of identifiable net assets (after tax) on 1 Jan 20×8 is $10 m.
- FV of NCI on 1 Jan 20×8 is $1 m.
- P Co. increases ownership from 90% to 95% on 1 January 20×10 by increasing investment from $18 m to $20 m.
- Fair value of identifiable net assets (after tax) on 1 Jan 20×10 is $15 m.
- Fair value of NCI on 1 Jan 20×10 is $3 m. Balance of NCI on 31 December 20×9 is $3 m. Assume NCI is recognized at full fair value.

	Impact on consolidated financial statements at 1 Jan 20×10
Investment	Zero (eliminated)
Goodwill	$9 million ($18 m + $1 m – $10 m)
Non-controlling interest	$1.5 million (5%/10% of $3 m)
Equity (loss on purchase)	$0.5 million ($2 m – $1.5m)

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Illustration 7.1: No Loss or Gain of Control

Consolidation adjustment

Dr Loss on purchase (equity)	500,000	
Dr NCI	1,500,000	
Cr Investment		2,000,000

Loss on purchase
= Consideration paid for 5% – Carrying amount of 5% of NCI
= $2 million – $1.5 million
= $0.5 million

The loss on purchase may be taken to capital reserve.

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Illustration 7.2: No Loss or Gain of Control

- P Co. acquired 90% of S Co. on 1 Jan 20×8 for $18 m.
- Fair value of identifiable net assets (after tax) on 1 Jan 20×8 is $10 m.
- FV of NCI on 1 Jan 20×8 is $1 m.
- P Co. decreased ownership from 90% to 60% on 1 January 20×10 and the proceeds were $15 m.
- P Co's share of subsidiary's equity on 31 Dec 20×9 was $27 m.

	Impact on consolidated financial statements at 1 Jan 20×10
Investment	Zero (eliminated)
Goodwill	$9 million* ($18 m + $1 m – $10 m)
Income (Gain on sale)	Nil
Non-controlling interest	Increased by $9 million** (30%/90% × $27 m)
Equity (Gain on sale)	$6 million ($15 m – $9 m)

*Total goodwill does not change after the divestment of 30% by P Co.

**Adjustment for the change in relative interest

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Illustration 7.2: No Loss or Gain of Control

Consolidation adjustment

CJE1: Eliminate investment as of acquisition date		
Dr Goodwill	9,000,000	
Dr Share capital	5,000,000	
Dr Retained earnings	4,000,000	
Dr Intangible asset	1,250,000	
Cr NCI		1,000,000
Cr Investment		18,000,000
Cr Deferred tax liability		250,000

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Illustration 7.2: No Loss or Gain of Control

Consolidation adjustment

CJE2: Adjustment as at date of sale		
Dr Investment	6,000,000	
Dr Gain on sale (PL)	9,000,000	
Cr Equity (Gain on sale)		6,000,000
Cr NCI		9,000,000

The gain on sale (equity) may be taken to capital reserve.

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Conclusion

- Simultaneous consolidation is applied by a parent to account for indirect ownership interests in a subsidiary
  - Investment account is eliminated against the direct subsidiary's consolidated equity as at the date of acquisition
  - Post-acquisition profits or losses of subsidiaries are allocated to both direct and indirect non-controlling interests (NCI)
  - Elimination of dividend income only applies to direct NCI
  - Dividend income from lower-tier subsidiary recorded by intermediate parent is removed
- For business combination achieved in stages:
  - Previously-held interest will be remeasured to fair value at acquisition date when control is achieved

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